

Nonlinear Liquidity Reversion (NVR) Strategy

Proprietary Quantitative Research – Strategy Fact Sheet

Confidential – Internal Distribution Only – July 2026

Strategy Profile

Investment Objective: Exploit overnight mean-reversion anomalies within the Russell 3000 universe, using volume-weighted execution algos to extract liquidity premium while minimizing price slippage.

Portfolio Focus: US Small/Micro-Cap Equities.

Position Sizing: Inverse Volatility (Risk-Parity).

Holding Period: 3-Day Tranche Rebalancing.

Leverage: 1.0x (No Margin Loans/Interest).

Execution: 3-Hour VWAP Algo (Exits).

Key Performance Metrics (2020–2026)

Metric	Value
Net Sharpe Ratio	1.492
Net Annualized Return (CAGR)	91.04%
Max Drawdown	-57.45%
Inception Date	January 2020
Terminal Capacity Limit	\$2.5M – \$3.0M
Min starting Capital	\$10,000

Year-by-Year Performance Metrics (2020–2026)

Year	Net Sharpe	Net Return	Max Drawdown	Trading Days
2020	1.578	135.55%	-40.36%	253
2021	1.188	56.25%	-23.95%	252
2022	0.022	-15.49%	-42.21%	251
2023	2.329	179.54%	-52.34%	250
2024	4.078	1,325.61%	-20.10%	252
2025	1.660	149.87%	-34.79%	250
2026 (YTD)	0.672	22.25%	-23.48%	106

Strategy Equity Curve (PnL Growth)

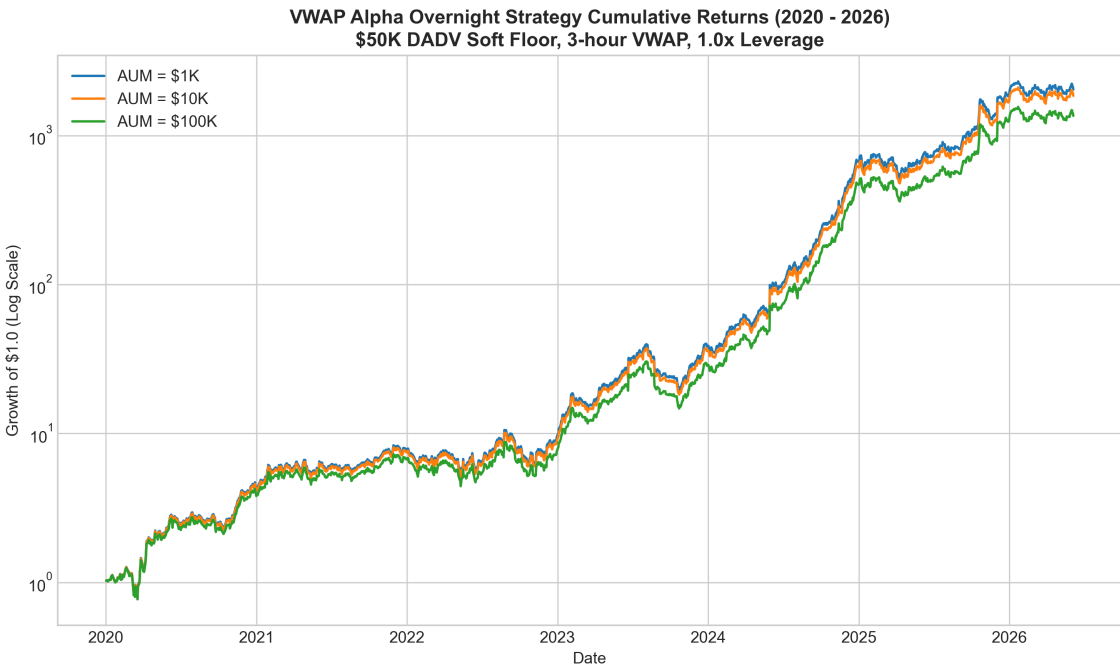


Figure 1: Growth of \$1.0 invested since Jan 2020 (Log Scale). Net of 3-hour VWAP slippage, commissions, and spreads.

Key Risk Controls & Operational Guards

- **Soft Liquidity Floor:** Dynamic thresholding (\$50K ADDV soft floor under \$100K AUM, shifting to \$1.0M ADV above \$100K AUM) to ensure execution fills and avoid nano-cap liquidity traps.
- **Beta/Regime Filter:** Strategy halts trading and rotates to Cash when the SP 500 trades below its 200-day simple moving average to protect capital during trending bear markets.
- **Nonlinear Market Impact Management:** Exits are routed using a 3-hour VWAP algorithm to keep the trading footprint within the cheapest part of the square-root market impact curve.